

[Policy Statement](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[A. Customer Credit Review Guidance](#)

[B. Accounts Receivable Billing](#)

[C. Accounts Receivable Collection](#)

[D. Accounts Receivable Payment Receipt](#)

[Definitions](#)

POLICY NUMBER: FP-OPSFIN-121

# Accounts Receivable Billing, Collections, & Payment Receipt

This policy includes guidelines for accounts receivable billing procedures, collection efforts, and receipt of payments.

## POLICY STATEMENT

The Finance function is responsible for ensuring that all charges are accurate, invoices are supported, and customers are billed timely. Further, collection processes must be established to ensure payment is received.

Lastly, there must be controls surrounding the receipt of payment, including segregation of duties around posting abilities and application of accounts receivable into the Property Management System (PMS) or General Ledger, as applicable.

## APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

## EXCLUSIONS/EXCEPTIONS

No exclusions.

## A. CUSTOMER CREDIT REVIEW GUIDANCE

- 1) Regular updates of "Cash Only Guests" and/or "Customer No-Charge List" must be circulated and reviewed by all applicable Team Members and Tenants. Reports do not necessarily need to be circulated if ancillary systems (POS, Spa, etc.) interface with PMS and inform of cash only guests.
- 2) The High Balance Report must be checked at least daily with appropriate action taken and be signed / dated by either the Front Office Manager or designee.

### Long-Term Guests:

- 3) Upon check-in, long-term guests are to be advised that their account will need to be settled at a minimum on a weekly basis, unless otherwise agreed contractually with the client. As a best practice, the Finance Leader should review and approve any agreements that allow for settlement terms differing from the minimum weekly requirement.
- 4) Credit cards for long-term guests must be pre-authorized per normal Hotel credit card procedures.
- 5) A trace should be set on the guest account for the relevant date that the account is to be settled.

## B. ACCOUNTS RECEIVABLE BILLING

The Team Member responsible for billing must ensure the following:

- 1) All accounts (group and guest) must be checked out immediately upon final departure or end of event. Under no circumstances should the aging of a receivable account be impacted by delaying the check-out of a guest or group.
- 2) The bill must be fully supported with folio information, banquet / catering checks, audio visual (AV) expense documentation, etc.
- 3) The billing process must be complete and the invoice issued to the client within five business days of completion of event or last check-out, unless otherwise agreed contractually with the client
- 4) The bill must be delivered via an appropriate method (i.e., mail, e-mail, courier, etc.)

## C. ACCOUNTS RECEIVABLE COLLECTION

- 1) A collection process must be established once the client is billed and should take into consideration the following guidelines:
  - a) Collection efforts should begin with a follow-up communication to the client to understand whether or not they received the bill and this communication should be documented for future reference. This should occur within one month of initial billing.
  - b) Once the original payment due date passes, additional collection efforts must occur and be documented. This client should now be reviewed at monthly Credit Meetings. This must continue until payment in full is received from the client and/or the account is deemed uncollectible.
  - c) Best practice collection actions are as follows:
    - i. Within seven (7) calendar days after due date, indicate to the client that the amounts are past due and receive a commitment and expected date of payment.
    - ii. If the client still does not meet their obligation, a letter or e-mail writing regiment should be considered to expedite collection:
      - within 14 days of revised due date, send a letter or e-mail communication
      - within 30 days of revised due date, send a registered letter. This can be sent via any service which requires a signature for receipt of the letter.
- 2) Once all efforts have been made and the account is deemed uncollectible, refer to FP-OPSFIN-125 Bad Debt Reserve & Write Offs for further guidance.

## D. ACCOUNTS RECEIVABLE PAYMENT RECEIPT

Irrespective of payment type, all payments must be posted as of the day they are received and applied to the corresponding invoice.

### Check Payments:

- 1) All checks received in the mail must be handled by a Team Member who does not have access to the accounts receivable system.
- 2) All checks must be restrictively endorsed (unless the Country has alternate banking practices) immediately on the day received and individually listed on the Check Log. The Check Log must include:
  - a) Check Number
  - b) Bank
  - c) Payer
  - d) Date
  - e) Amount
  - f) Signature / date of the Team Member receiving the checks & completing the Check Log
- 3) Checks must be secured at all times.
- 4) Checks along with the Check Log must be dropped in the Drop Safe by the person who received the checks on the date received.
- 5) A copy of the Check Log along with the back-up/remittance advice (if applicable) must be given to Finance in order to post the payment against the applicable accounts receivable invoice.
- 6) All payments received must be posted at least weekly. All payments received in the month must be posted by the last day of the month.
- 7) The Hotel must follow-up with the client regarding over/under payments.

## DEFINITIONS

| TERM/ACRONYM                     | DEFINITION                                                                                                                                                                              |
|----------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Finance Leader</b>            | Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).                                                                               |
| <b>Regional Finance Director</b> | Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual. |
| <b>Operations Leader</b>         | Ranking Operations representative for the property (i.e., General Manager, Hotel Director, or Operations Manager)                                                                       |